Early repayment: signal or event?

Inside: how early repayment can change portfolio risk · what CCD II really changes · one customer in euros · a decision table you can use

84%

of UK mortgage customers who refinanced in early 2026 took a new deal from their own lender.

Part of it is likely convenience: lenders made staying the easiest option. Most consumer lenders make leaving easier.

Source: UK Finance, Q1 2026, 499,830 refinanced mortgages · R · Contract lifecycle and retention

THE HIDDEN COST

Early repayment can change the risk of what stays

A TRUE STORY

I told my bank I was considering refinancing with another bank. They cut my rate.

The lever existed. But only for customers who ask. Everyone who doesn't ask simply repays and leaves, taking the yield the lender paid to acquire.

1. Good payers often get better offers elsewhere
2. They repay early. Riskier customers get no offers and stay
3. Without a check, the remaining book can quietly get riskier

Test it: compare early repayers and stayers at the same loan age.

Source: Altrium, Aug 2026, on private credit. For consumer portfolios, a hypothesis to test · 2

EARLY REPAYMENT RULES

Penalties never held customers. Value has to.

Since 2019: all costs reduced

Lexitor: early repayment reduces all costs, upfront fees included.

Since 2008: compensation capped

1% of the amount repaid, 0.5% in the last year, fixed rate only, plus national conditions (LV, LT).

CCD II, from 20 November 2026: codifies this for new contracts and covers more products, such as many BNPL and small loans. Existing contracts generally stay under the old rules until they end.

Retain through value, not contractual friction.

Sources: Directive 2008/48/EC, Art. 16; CJEU Lexitor, C-383/18; Directive (EU) 2023/2225, Arts. 29 and 47 · 3

THE RATE CYCLE

When rates move, the answer moves

The ECB raised rates in June 2026, and Euribor reached its highest level since late 2024.

Rates rising

- Fewer customers leave for a cheaper rate
- Old cheap fixed loans may earn less than new lending: letting some go can pay
- Variable-rate payments rise: more need a term extension

Rates falling

- A refinancing wave: offers must be ready in advance
- Reinvestment margins shrink, so keeping is worth more
- Price-driven leavers grow: rate changes do most of the work

Benchmarks change too: in Poland, new loans move from WIBOR to POLSTR from 2027.

Sources: ECB and Euribor data reported July 2026 (BL2020); BANK.pl, June 2026 · 4

ONE CUSTOMER, IN MONEY

Keep or let go? One car-loan customer

Keep, with an offer

NPV of keeping: the contract's value after the offer, minus a credit decision when one is needed

Interest still to earn	**+€1,450**
Expected loss	**−€320**
The offer: rate cut	**−€270**
Worth	**€860**

Let go

NPV of letting go: payoff after fee refunds, plus what the cash earns in new loans

Cash lent out again earns	**+€600**
Time to redeploy the cash	**−€120**
Worth	**€480**

Keep wins by €380. Break-even offer: **€650**, the ceiling. The best offer is usually lower.

A rate cut is usually a simple amendment: no new credit decision (check local rules).

In the P&L, letting go also writes off €300 of unearned platform commission this quarter, depending on accounting.

Reinvestment yield and timing are set with Finance. Illustrative numbers, present values for one customer · 5

STEP 1 · DISCOVER THE SIGNAL

Have an offer ready before they decide

Who paid you off

The payer on the incoming transfer often shows another creditor: a refinancing you can track.

Payoff requests

A customer asking how much to settle is deciding now, already has an offer, or has even signed.

Partial prepayments

Two kinds: spare cash and a wish to be debt-free, or preparing to leave. Treat them differently.

Ask the reason

Refinancing, unexpected income, asset sale: each reason routes to a different action.

New needs

A new purchase or a top-up request is a refinancing waiting to happen.

Eligibility pre-check

Risk or data science checks in advance who could get an offer.

STEP 2 · KNOW THE PRODUCT ECONOMICS

The same early repayment is worth different things

Interest-free BNPL

The merchant’s fee is recognised at once. The chance: convert to an interest-bearing contract with a top-up.

Hire purchase

Payoff ends future interest, fees and credit risk. A longer term lowers the payment and raises revenue.

Car loan via a platform

Unamortised commission is usually written off on payoff: a P&L loss. Check accounting and clawback.

Every product

Acquisition cost not yet earned back is lost. Upfront and monthly fees may need recalculating.

Cash loan

Many leave for a cheaper rate. A rate change on the current contract usually keeps them.

Pay next month

Customers who can’t make one large payment move to small instalments elsewhere. Offer them first.

STEP 3 · CHOOSE THE OPTION

The reason decides the answer

First gate: arrears or hardship? Then it is not retention. Refinancing as debt relief is usually forbearance, with its own rules and provisioning.

Why they want to leave	Best answer	New credit decision?
Found a cheaper rate	Rate or fee change on the current contract	Usually no: amendment
Needs extra cash	Refinance with top-up; for interest-free BNPL, convert	Yes
Payment feels heavy	Term extension	Affordability check
Own money: bonus, asset sale, tax return	End the contract, keep the relationship	None
Risky or low margin	Let go: the risk leaves too	None

Every offer then passes one test: is keeping worth more than letting go?

STEP 4 · MAKE THE OFFER

Make the offer within consent rules

The customer asked

Show the offer inside the payoff journey: the self-service screen, the payoff statement, the customer service call. The customer started the conversation, so it is usually service, not marketing.

The lender reaches out

Needs marketing consent, or in some markets an existing-customer exemption for similar products with an easy opt-out.

To scale: ask for consent at signing and in self-service, build the offer into the journeys customers already use, and keep proactive campaigns for consented, pre-checked customers.

STEP 5 · TARGET AND PROVE

Who to keep, and how to prove it worked

Retain

High value, likely to leave

Leave alone

Would stay anyway: a discount gives margin away, a better product can still pay

Let go

Risky or low margin: the risk leaves with them

Watch

Low value, unlikely to leave

Compare like for like: a change in product mix can fake a trend. Illustrative numbers.

Prove it with a control group

300	150	150
of 1,000 accepted the offer	would have stayed anyway	truly kept: the real result

FOUR THINGS THAT KEEP THE TEST HONEST

Score ≠ decision: a leave score says who may go; the economics decide

Count only leavers: a control group shows who would stay

Weight by acceptance: not everyone takes the offer

Add the P&L view: write-offs hit at payoff

THREE QUESTIONS FOR YOUR TEAM

1 Do you know why your customers repay early?

2 Does your offer reach them before the competitor’s does?

3 Do you know which customers you are happy to lose?

Manage the lifecycle. Don’t just watch it.

Try the keep-or-let-go calculator with your own numbers: link in the comments.

This is one possible approach, kept simple on purpose. A full solution runs a decision engine across the whole lifecycle, not only at the payoff request: it makes the better-economics offer before the customer starts looking elsewhere. Portfolio modelling sets the overall economics. Happy to compare notes.

Written for banks and instalment lenders. Short-term loans with extensions have different economics: a topic for another post.